



 Umar Ashraf's Playbook

From Novice to Expert: 5-Stage Trader Framework

Foundational Principles Before You Begin

Before diving into the five stages, there are several **core truths** every trader must internalize. These are not optional. If you skip them, you will likely struggle.

1. Trading is Hard

You have to accept that this journey is not easy. It will test your patience, discipline, and mental toughness every day. If you're expecting ease, you'll quit early.

2. The Goal Is NOT to Make Money

If your goal is to make X dollars, you're setting yourself up for emotional decision-making. The goal should be to **build a repeatable process** that generates positive outcomes over time. Money is a byproduct of mastering the process.

3. Control What You Can Control

You can't control the market. You can't control outcomes. What you can control is what you trade, how much you risk, and how well you execute. That's where your energy should go.

4. There Is No "Aha" Moment

There is no "aha" moment in trading. Just because someone had a green month doesn't mean they've "figured it out." Many traders think they hit their breakthrough, only to fall into a drawdown. There's no single moment where it all clicks. Progress comes slowly and unevenly. You stay consistent by showing up daily, adapting your process, and adjusting as the market shifts.

5. Psychology is overrated

When most traders start, they blame their psychology and emotions. They think hesitation, fear, or lack of confidence is what's holding them back. But in reality, it's usually not a mindset; it's the lack of a clear strategy, proper risk management, and a structured process.

In the early stages, you shouldn't be trading big enough for emotions to take over. If you're in stage 1 or 2, your focus should be on building a playbook, defining your setups, and keeping your size small. Most of what feels like a psychological problem is actually just poor trade management or confusion around your system.

Psychology starts to matter later, once you've built real structure, you're trading meaningful size, and you're focused on staying consistent. That's when discipline, patience, and emotional control actually play a role.

But early on, the mindset isn't the issue. The real problem is not having a clear process.

The 5 Stages of a Trader

Everyone wants to skip ahead, but trading doesn't work like that. You can't fake experience. You can't fast-forward through the hard parts. Every trader has to go through these stages. Some get stuck early. Some bounce between stages for years. The ones who make it? They respect each stage. They do the work it demands.

This framework isn't just for beginners. It's a mirror. No matter how long you've been trading, ask yourself: What stage am I actually in, and am I acting like it?

Stage 1: Novice stage

Stage 1 is where most traders start. This is the beginner phase, and the focus here is not on making money but on building a strong foundation.

Purpose of Stage 1:

- The main goal is to build a structure and learn the market.
- You're not expected to get everything right. Mistakes, missed trades, and poor analysis are completely normal here.
- The aim is to connect concepts and understand the process through repetition, not to be perfect.

What You Should Be Doing:

- Spend time observing price action and getting a feel for how the market moves.
- Begin collecting basic trade notes and journaling what you're learning.
- Start developing cut-off rules (e.g., being at your desk an hour before the market).
- No focus on sizing up, keep the risk extremely low. If emotions are overwhelming you, your size is likely too high.

Mindset in Stage 1:

- Accept that you will mess up. You'll misread setups, exit too early, or completely miss trades. That's okay.
- Don't aim to be right, aim to build a repeatable process.
- You're not supposed to be emotional here. If you are, it means you're doing too much too soon.

Timeframe:

- Stage 1 is meant to last 2 to 4 weeks, assuming you're putting in the work daily.
- It's not meant to be a long stage, but it's crucial for everything that comes after.

Common Mistakes:

- Trying to rush ahead to make money.
- Thinking you've "figured it out" after one or two good days.
- Skipping structure and blaming psychology when there's no clear system yet.

Stage 2: Developing stage

Stage 2 is where you take everything you started building in Stage 1 and begin putting it into action. This is about applying structure, not guessing. You're no longer a blank slate, but you're still early in your development.

Purpose of Stage 2:

- Start testing your ideas and seeing what works in live conditions.
- Begin refining your process and setups based on real-time feedback.
- Move from general market observation to more intentional trading activity, but still with a small size.

What You Should Be Doing:

- Apply the structure and playbook ideas you built in Stage 1.
- Start tracking specific setups you think might be your edge.
- Collect data: win rates, performance by setup, time of day, etc.
- Continue journaling and reviewing trades daily to refine what's working and what isn't.
- Stick to strict risk controls. You're still not supposed to be sizing up yet.

Mindset in Stage 2:

- Stay curious. You're still learning what your strengths are.
- Don't aim for profits, aim for process consistency and pattern recognition.
- You may start feeling more confident, but you're not ready to scale just yet.

Timeframe:

- Typically lasts a few weeks beyond Stage 1.
- The combination of Stage 1 and 2 might take 4–6 weeks total, if you're consistent and disciplined.

Common Mistakes:

- Thinking a few wins mean you've figured it all out.
- Ignoring the review and skipping journaling once the trades start working.
- Letting small successes push you to size up too early.

Stage 3: Intermediate stage

Stage 3 is where things start to feel more serious. You've been showing up. You've built a process. You've seen what works. Now you're refining, adjusting, and working toward consistency, but this is also where psychological pressure starts to creep in.

Purpose of Stage 3:

- Develop clarity around your setups, execution, and trade management. Refine your process based on real data and experience.
- Identify why trades work or fail — not just the outcome, but the execution behind it.
- Begin to hold yourself to a higher standard.

What You Should Be Doing:

- Narrow your focus to **only 1–2 main setups**.
- Define the **rules, context, and invalidation** for those setups in a playbook format.
- Eliminate trades that fall outside your plan, even if they work.
- Review every trade critically: Did you follow your plan? Did you manage risk correctly?
- Tighten up your routine: premarket prep, execution plan, post-market journaling.

Mindset in Stage 3:

- This is when psychology becomes more of a factor. You'll hesitate. You'll break rules. You'll second-guess.
- You're no longer just experimenting, you're trying to perform.
- Consistency becomes your main goal, and emotional control starts to matter more.

Timeframe:

- This is often the **longest and hardest** stage. Many traders get stuck here for months (or years) if they don't fully commit to refinement and discipline.

Common Mistakes:

- Breaking rules after a few losing trades or drawdowns.
- Trading outside your setups because of the fear of missing out.
- Scaling too soon or too aggressively.
- Focusing too much on P&L instead of process.

Stage 4: Advanced stage

Stage 4 is when things start to get real. You've done the work, you've built a process, and you're trading with intention. Now, it's time to size up responsibly. This stage isn't about figuring things out anymore. It's about executing what you already know, with more size, more pressure, and higher expectations.

What you should be doing:

- Start increasing your position size gradually, but only on your best setups.
- Stick strictly to your playbook. There's no room for random trades anymore.
- Use data and journaling to spot areas for small refinements, not major changes.
- Track consistency week over week, focusing on execution over outcome.

Mindset at this stage:

- You'll feel the pressure more now because the money matters more.
- Small mistakes can have bigger consequences, so emotional control becomes crucial.
- This is where real discipline is tested. You'll be tempted to force trades or revenge trade after a loss.

Common traps:

- Sizing up too fast, which leads to emotional decisions.
- Deviating from the process just because of a good week or two.
- Letting short-term results mess with your confidence or push you into drawdowns.

Stage 4 can last a long time, sometimes a year or more. That's normal. The key is staying consistent, staying grounded, and letting your edge play out without overreacting to short-term wins or losses. This stage builds the habits that keep you stable as your size and performance goals grow.

Stage 5: Pro Stage

Stage 5 is where everything comes together. You've built a solid process, you're trading real size, and you've proven you can stay consistent. Now, trading is no longer about figuring things out; it's about executing with confidence, maintaining discipline, and thinking long-term.

What you should be doing:

- Trade your proven setups at full size with full conviction.
- Focus on long-term consistency, not just weekly or monthly results.
- Continue journaling and refining, but only with small adjustments, not constant changes.
- Use your data to track performance across market conditions and adapt when needed.

Mindset at this stage:

- You're calm, focused, and confident in your edge.
- Emotions don't drive your decisions; you trade based on your process, not how you feel.
- You know drawdowns are part of the game, and you handle them without panic.

Common traps:

- Getting too comfortable and slacking on routine or review.
- Forcing growth by adding new setups too quickly.
- Letting performance define your self-worth or identity.

Not everyone gets to Stage 5 — and not everyone needs to. Some traders choose to stay in Stage 4 and trade comfortably at a sustainable level. But if your goal is mastery and longevity, Stage 5 is where trading becomes part of who you are. It's not about chasing highs, it's about staying steady and letting consistency do the heavy lifting.

Key Lessons That Apply at Every Stage

- Journaling is not optional
- Simple systems work best
- Trade quality = trade result
- Execution is everything

Closing Thought

Every trader walks this path. Some get stuck in Stage 2. Others bounce between Stage 3 and 4 for years. But the ones who make it, the ones who truly evolve, do the difficult work. They review. They simplify. They focus on process. They build both mental and structural discipline, not just technical knowledge.

The market rewards structure, patience, and consistency, not urgency or excitement.

Most traders never move beyond Stage 2 or 3. They skip journaling.

They force trades and obsess over outcomes. But that's not how real progress is made.

The message is simple:

If you commit to the process over profit, and respect each stage fully, trading can change your life. But the price is patience, humility, and discipline.

Use this framework as a mirror, not just a map. Revisit it regularly. Ask yourself honestly:

What stage am I actually in?

And am I doing the work that stage requires?